

NEW ZEALAND 2011

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

The provision of social security benefits in New Zealand is funded from general taxation and not specific social security contributions. Social security benefits for the unemployed are not funded from specific employee/employer contributions and there are no minimum working hours or earnings required in order for a person to be covered. All New Zealanders regardless of their employment history are covered by the benefits provided under the Social Security Act 1964. All benefits are payable without a fixed duration (although eligibility is reviewed on a regular basis and people receiving Unemployment Benefit have to reapply every 12 months). In addition to the specific qualifying criteria for each benefit, provision is subject to a New Zealand residence requirement and personal income (joint income in the case of married, civil union and de facto couples).

Working for Families Tax Credits (Family Tax Credit, In-Work Tax Credit, Parental Tax Credit and Minimum Family Tax Credit) are available to families with dependent children. Minimum Family Tax Credit provides a guaranteed minimum family income to working non-beneficiary families¹.

The tax unit is the individual but eligibility for Working for Families Tax Credits is based on combined family income (children's income is not counted except for passive income over \$500 per child²).

The average annual taxable income of personal taxpayers from all regular sources was \$36,847 in 2009/10³.

1.1. Average Worker wage (AW)

The 2011 AW level was NZD 49 395⁴.

Unemployment insurance

In New Zealand there is no unemployment insurance.

3. Unemployment assistance

3.1 Conditions for receipt

A person is entitled to an Unemployment Benefit provided they are available and willing to undertake full time paid employment. A person must have resided in New Zealand continuously for at least two years and be at least 18 years old, or alternatively be at least 16 years old and married, in a civil union or de facto relationship, with one or more dependent children. They must not be in full time employment (defined as working 30 or more hours per week), but available for and taking reasonable steps to find suitable employment. These latter provisions are known as the "work test". A stand down period of between zero and two weeks is applied to new applicants. The length of stand down is determined by a formula which

¹ Working for Families Tax Credits are administered as transfer payments paid through the tax and benefit systems. They were renamed as "Working for Families Tax Credits" in 2007. See section 12.2 for details.

² Passive income refers to income the child may receive that they have not earned through their own efforts.

³ Household Economic Survey: Year ended June 2010 Statistics New Zealand, Wellington. The figures for year ended June 2011 will not be available until November 2011.

⁴ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information, see Taxing Wages 2010-2011, OECD, 2012, part 5, sections 2 and 3.

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takes account of household structure and gross income in either the 6 or 12 months prior to the date of benefit entitlement, whichever results in the shorter stand down⁵.

Striking workers and full time students are not entitled to the Unemployment Benefit.

3.1.1 Employment conditions

If an applicant (or their work tested partner) has left their job of their own free will, without a good and sufficient reason, the stand down period applied is 13 weeks from the date their employment ceased.

3.1.2 Contribution conditions

None.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

Entitlement is based on the family, not the individual. Each partner of a married, civil union or de facto couple usually receives half of the total benefit but their benefit can be differently apportioned in some circumstances.

Unemployment Benefit rates as at 1 April 2011	
<i>Family type</i>	<i>Gross rate (NZD per four weeks)</i>
Single 18-19 at home	600.04
Single 18-19 away from home	750.08
Single 20-24	750.08
Single 25 and over	900.12
Sole parent	1307.28
Married, civil union or de facto couple (with or without children)	1500.16

3.2.1.1 Irregular additional payments

There is a range of payments or advances available to provide assistance in a financial crisis, including special needs grants, advance payments of benefit, recoverable assistance, or temporary additional support. The amounts available depend on individual circumstances and needs.

3.2.1.2 Obligations of family members

Work test obligations apply to the partners of people receiving the unemployment benefit where there are no dependent children or where the youngest child is 18 years of age. Where partners have a youngest child aged 6 years or over but under 18 years part-time work test obligations apply. No work test obligations apply to partners with a youngest child under 6 years.

⁵ This came into effect on 2 July 2007.

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If the partner fails without good and sufficient reason to comply with their work test obligations, the unemployment benefit may be stopped.

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Net Unemployment Benefit payments are abated at a rate of 70 cents for each dollar after NZD 80 gross weekly earnings before tax. The unit of income assessment is personal income for single people, or joint income for married, civil union and de facto couples.

3.3 ***Tax treatment of benefit and interaction with other benefits***

Unemployment Benefit is taxable with each spouse receiving half of the benefit entitlement for taxation purposes.

3.4 ***Benefit duration and waiting periods***

People receiving Unemployment Benefit are required to re-apply for the benefit every 12 months and undergo a comprehensive work assessment at the time of re-application.

3.5 ***Treatment of particular groups***

3.5.1 ***Young persons***

There is no unemployment assistance for people under 18 years old, unless they are 16 or 17 years old and married, in a civil union or de facto relationship with one or more dependent children. Unemployed 16 and 17 year olds who have lost the support of their parents may be entitled to an Independent Youth Benefit.

3.5.2 ***Older workers***

Universal Superannuation is payable from age 65. There is no compulsory retirement age.

3.5.3 ***Others if applicable***

There are a range of work test exemptions that can be applied. For example a client (or partner) serving a sentence of home detention can be exempted from the work test for this period.

Pregnant jobseekers may be exempt from their work test obligations from the day they provide proof of pregnancy from a health professional. Once the jobseeker is 27 weeks pregnant they can be transferred to Sickness Benefit.

A person who is sick, injured or disabled may be eligible to receive an Invalid's Benefit or a Sickness Benefit. Invalid's Benefit is not work tested. . People on Sickness Benefit who are regarded as having the capacity to work part-time⁶ may be required to meet to a part-time work test. Partners of people receiving Invalid's or Sickness Benefits may be subject to a work test depending on their circumstances.

Unemployed sole parents and caregivers may be entitled to a Domestic Purposes Benefit (see section 9).

⁶ Part-time work is defined in the Social Security Act 1964 as work that averages not less than 15 hours a week when calculated over a period of the the preceding three months. Full-time work is defined as work of no less than an average of 30 hours a week.

4. Social assistance

None.

5. Housing benefits for rented accommodation

5.1 Conditions for receipt

Accommodation Supplement provides assistance towards accommodation costs, including private rent, board and home ownership costs. A person does not have to be receiving a benefit to qualify for Accommodation Supplement.

5.2 Calculation of benefit amount

The calculation of the Accommodation Supplement is based on actual accommodation costs.

5.2.1 Calculation of gross benefit

Accommodation Supplement provides for 70 per cent of accommodation costs above the entry threshold, up to a maximum amount.

- The entry threshold is 25 per cent of a person's net rate of benefit (30 per cent if they own their own home) plus the first child rate of Family Tax Credit for people with children.
- For non-beneficiaries, the entry threshold is 25 per cent of the relevant net Unemployment Benefit (30 per cent if they own their own home) plus the first child rate of Family Tax Credit for people with children.

Accommodation Supplement payments are capped according to median rents in different parts of the country. For example a greater maximum amount of Accommodation Supplement is available in Auckland, reflecting the higher accommodation costs in that city.

Accommodation Supplement weekly maxima as at 1 April 2011 (NZD)				
<i>Family type</i>	<i>Area 1</i>	<i>Area 2</i>	<i>Area 3</i>	<i>Area 4</i>
1 person	145	100	65	45
2 people	160	125	75	55
3 or more people	225	165	120	75

*Note there was no change to the weekly maxima between 2010/11

5.2.2 Income and earnings disregards

Beneficiaries do not have their Accommodation Supplement abated. Non-beneficiaries have their Accommodation Supplement reduced by 25 cents for each dollar of gross income above the relevant income threshold shown below.

Accommodation Supplement income thresholds for

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non-beneficiaries as at 1 April 2011	
<i>Family Type</i>	<i>NZD per four weeks</i>
Single 16-17 years	1472
Single 18 years and over	1472
Married, civil union or de facto couple	2240
Sole parent	1972

A cash assets test is also applied. Single beneficiaries without dependent children cannot receive an Accommodation Supplement if they have assets exceeding NZD 8 100. The asset limit for beneficiary couples and beneficiaries with dependent children is NZD 16 200.

Single non-beneficiaries have every NZD 100 of their cash assets over NZD 2 700 treated as NZD 1 per week income for Accommodation Supplement abatement purposes. Non-beneficiary couples and non-beneficiaries with dependent children have every NZD 100 of their cash assets over NZD 5 400 treated as NZD 1 per week income for abatement purposes.

* Note: there has been no change to the cash asset test for AS.

5.2.3 *Costs eligible for housing benefits*

Rent, board and home ownership costs are all eligible costs for housing benefits. Home ownership costs can include mortgage payments, rates including water rates, home and mortgage protection insurance and essential repairs and maintenance.

5.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

5.4 *Treatment of particular groups*

Tenants who live in a state house receive an Income Related Rent subsidy, and are not eligible for an Accommodation Supplement. People receiving an Income Related Rent subsidy pay 25 per cent of their net income in rent.

5.4.1 *Young persons*

Young people aged 16-17 years are not eligible to receive an Accommodation Supplement unless they are financially independent.

5.4.2 *Older workers*

People receiving New Zealand Superannuation or Veterans Pension cannot receive an Accommodation Supplement if they have other income exceeding the appropriate income limit.

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5.4.3 *Others if applicable*

Generally students studying full-time cannot access Accommodation Supplement but may receive an Accommodation Benefit if they qualify for a Student Allowance.

6. Family benefits

6.1 Conditions for receipt

Family Tax Credit is available to families with dependent children.

- Beneficiary families are paid Family Tax Credit weekly or fortnightly with their benefit.
- Family Tax Credit is paid to non-beneficiary families by the Inland Revenue Department, either weekly or fortnightly, (with an end of year “square up”) or in one lump sum at the end of the tax year.

Non-beneficiary families may also be entitled to other Working for Families Tax Credits (see section 10.1.1.2 below).

6.2 Calculation of benefit amount

Family Tax Credit rates depend on the number of children, the age of the children and family income.

6.2.1 Calculation of gross benefit

Gross Family Tax Credit rates as at 1 April 2011 (NZD per four weeks)	
<i>Family Type</i>	<i>NZD per four weeks</i>
First or only child aged 0-15 years	352.16
First or only child aged 16-18 years	407.92
Second or subsequent child aged 0-12 years	244.76
Second or subsequent child aged 13-15 years	279.16
Second or subsequent child aged 16-18 years	365.00

6.2.1.1 Irregular additional payments

Nil.

6.2.2 Income and earnings disregards

Each dollar of gross income in excess of NZD 36,827 reduces Family Tax Credit by 20 cents.

6.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

6.4 Treatment of particular groups

None.

6.4.1 Young persons

None.

6.4.2 Older workers

None.

6.4.3 Others if applicable

None.

7. Childcare for pre-school children

As at 1 July 2010 there were 188,924 enrolments in licensed early childhood education services, with 116,870 of these in the 3-4 years age group.⁷

Schooling is compulsory by age six in New Zealand, although the majority of children start school immediately after their fifth birthday (only 1,706 five year olds were enrolled in licensed early childhood services as at 1 July 2009).

From 1 July 2007 three and four year old children attending a teacher-led early childhood service became entitled to access up to 20 hours of free childcare per week. This funding was intended to cover the average cost of meeting the regulated requirements for ECE provision. Some providers may choose to offer additional features above and beyond the regulations. Parents may be requested to pay an additional charge if they wish to purchase these additional features. Free ECE funding is paid directly to ECE providers who have opted into the scheme.

7.1 Out-of-pocket childcare fees paid by parents

Government provides universal funding of between NZD 3.33 and NZD 12.81⁸ per hour per child to assist with early childhood education fees. The payment is made by the Ministry of Education direct to the provider of the service and varies according to the age of the child (under 2 or over 2) and the type of service.

Childcare Tax Credit is available for some working parents, who can claim a maximum tax credit of NZD 310 per year. The maximum rebate is available to families who paid NZD 940 or more for childcare.

⁷ Source: July 2010 annual census of children and staff at licensed and/or chartered early childhood education (ECE) services and license-exempt playgroups, conducted by the Ministry of Education. The figures for 2011 are not available until late 2011 or early 2012.

⁸Source: ECE: Funding handbook: Appendix one. <http://www.lead.ece.govt.nz/>

7.2 *Child-care benefits*

7.2.1 *Conditions for receipt*

Childcare Subsidy is a non-taxable payment which assists low- and middle-income families to pay for their under five year old children (and some under six year olds) to attend licensed preschool facilities.

A person may be entitled to a Childcare Subsidy of up to 9 hours per week if they meet the income test. People who are in work related activities or undertaking training may access up to 50 hours Childcare Subsidy per week for the time they are engaged in those activities. The payment is made to the provider of the service on behalf of the parent.

7.2.2 *Calculation of benefit amount*

7.2.2.1 *Calculation of gross benefit*

The following table shows Childcare Subsidy income abatement thresholds and maximum rates from 1 April 2011.

Childcare Subsidy income abatement thresholds and rates as at 1 April 2011 (NZD)		
<i>Number of children</i>	<i>Gross weekly income</i>	<i>Childcare Subsidy (per hour)</i>
1	Less than 1,200	3.84
	Less than 1,300	2.67
	Less than 1,400	1.48
	1,400 or more	nil
2	Less than 1, 380	3.84
	Less than 1,490	2.67
	Less than 1,600	1.48
	1, 600 or more	nil
3 or more	Less than 1,540	3.84
	Less than 1,670	2.67
	Less than 1,800	1.48
	1 ,800 or more	nil

7.2.2.2 *Income and earnings disregards*

Benefits are reduced according to gross income (see section 7.2.2.1).

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

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7.2.4 *Treatment of particular groups*

None.

8. Employment-conditional benefits

In-Work Tax Credit, Minimum Family Tax Credit and Parental Tax Credit are available only to non-beneficiary families. In-Work Tax Credit and Minimum Family Tax Credit require the parent (or at least one parent in the case of couples) to meet an hours of work test (see section 10).

9. Lone-parent benefits

9.1 Conditions for receipt

Sole parents 18 years or older may qualify for Domestic Purposes Benefit if they are the primary carer for a qualifying dependent child.

Domestic Purposes Benefit recipients with a youngest dependent child aged six or over⁹ have to meet a part-time work test. To meet their obligations the sole parent must make themselves available for suitable work, training or other activities for at least 15 hours a week. Domestic Purposes Benefit recipients with a youngest child under six participate in a planning process that promotes goal setting for the time when their circumstances allow them to successfully combine parenting and work. While most sole parent beneficiaries receive a Domestic Purposes Benefit, other benefits (Unemployment, Sickness and Invalid's) can also be paid at a sole parent rate.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

As at 1 April 2011 the weekly gross rate of the sole parent Domestic Purposes Benefit was NZD 326.82.

9.2.1.1 Irregular additional payments

As mentioned in 3.2.1.1 there are a range of payments or advances available to provide assistance in a financial crisis, including special needs grants, advance payments of benefit, recoverable assistance, or temporary additional support. The amounts available depend on individual circumstances and needs.

9.2.2 Income and earnings disregards

The net rate of Domestic Purposes Benefit is abated by 30 cents for each dollar of weekly earnings between NZD 100 and NZD 200. Earnings above NZD 200 per week abate the benefit by 70 cents for each dollar earned. The default is an annual income assessment, though the beneficiary may choose to have a weekly assessment.

9.3 Tax treatment of benefit and interaction with other benefits

The Domestic Purposes Benefit is taxable.

9.4 Benefit duration

Sole parents lose eligibility for Domestic Purposes Benefit when their youngest dependent child turns 18 or at the end of the secondary school year in which their youngest child turned 18.

⁹ Once the youngest dependent child turns 18 a sole parent has to meet a full time work test but, providing the child is still at school, they can continue to receive DPB-SP until the end of the school year in which their child turns 18.

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9.5 Treatment of particular groups

9.5.1 Young persons

Some 16 and 17 year old sole parents may be eligible for Emergency Maintenance Allowance.

9.5.2 Older workers

None.

9.5.3 Others if applicable

None.

10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

None.

10.1.1.2 Standard tax credits

Tax credit for income under \$9 880 [also referred to as a tax credit for transitional circumstances]

A tax credit is available to persons with income under NZD 9 880. This credit is limited to those in full-time employment of at least 20 hours a week or who would have been in full-time employment but for sickness or accident. The rebate is NZD 611.52, reduced by 16.8 cents on each dollar earned over NZD 6 240 – thus the rebate runs out at NZD 9 880¹⁰. The tax credit is not available if the taxpayer receives an income tested benefit, a child tax credit, Working for Families tax credit or if any of the universal cash transfers apply. In addition, the amount of the rebate depends on the proportion of weeks in the year where 20 hours or more have been worked.

Family Tax Credit

See section 6.

In-Work Tax Credit

In-Work Tax Credit is available to non-beneficiary families who normally work a minimum number of hours each week.

- A sole parent qualifies if they work at least 20 hours per week.
- A two-parent family qualifies if the two parents work a combined 30 hours per week.

In-Work Tax Credit is up to NZD 60 week per for families with up to three children, increasing by NZD 15 for each additional child after the third. Eligibility for In-Work Tax Credit also depends on family income.

¹⁰ These changes were introduced in the Taxation (Budget Measures) Act 2010 and took effect on 1 April 2011 for the 2011/12 and later income years.

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Families receiving the following government transfers can still qualify for In-Work Tax Credit, provided the family works the required hours:

- NZ Superannuation
- Veteran's pension
- a foster, orphan's or unsupported child's benefit
- accident compensation for incapacity provided the person normally worked the required hours each week prior to their injury and had an accident after 1 January 2006
- paid parental leave or Parental Tax Credit provided the family worked the required hours before taking leave due to the birth of a child.

Minimum Family Tax Credit

Minimum Family Tax Credit is available to working non-beneficiary families.

- A sole parent qualifies if they work at least 20 hours per week.
- A two-parent family qualifies if the two parents work a combined 30 hours per week.
- Self-employed people are not eligible.

The Minimum Family Tax Credit was increased in April 2011. It ensures a minimum net income of NZD 427 per week (including ACC deduction, NZD 22,204, per annum) before Family Tax Credit and In-Work Tax Credit are included.

Parental Tax Credit

Families may be entitled to a Parental Tax Credit of NZD 150 per week for the first eight weeks after they have a new baby. They cannot receive a Parental Tax Credit if they are receiving Paid Parental Leave.

10.1.2 Income tax schedule (central government income tax)

NZ income tax schedule	
<i>Gross taxable income as at 1 April 2011 (NZD per year)</i>	<i>Statutory tax rate (%)</i>
0 – 14,000	10.5
14,001 – 48,000	17.5
48,001 – 70,000	30.0
over 70,000	33.0

10.1.3 State and local income taxes

New Zealand has no state or local income tax.

10.2 Treatment of family income

Family members are taxed as individuals.

10.3 Social security contributions and payroll taxes

New Zealand has no compulsory social security contributions to schemes operated within the government sector.

It should be noted that there is an accident compensation scheme administered by the Accident Compensation Corporation for residents and temporary visitors to New Zealand. This scheme is funded in part by premiums paid by employees and employers. Employees pay a premium of 2.04% of their gross earnings. Employers pay a premium depending on their total payroll and their assessed accident risk (the average rate is 1.06%).

10.4 Treatment of particular groups

10.4.1 Young persons

Children who are under the age of 15, or under the age of 18 and attending primary or secondary school, or who turned 18 in the preceding income year and are still at school, are eligible to receive a Child Tax Rebate. Eligible children are allowed to earn income (less interest and dividends) up to NZD 2 340 per annum, tax-free.

10.4.2 Older workers

None.

10.4.3 Others if applicable

None.

11. Part-time work

11.1 Special benefit rules for part-time work

People must be working less than an average of 30 hours per week to be eligible for Unemployment Benefit.

11.2 Special tax and social security contribution rules for part-time work

None.

12. Policy developments

12.1 Policy changes introduced during 2011

12.1.1 Changes to Working for Families Tax Credits announced in the 2011 Budget

New Zealand legislation prescribes that Family Tax Credits will next be adjusted for inflation on 1 April 2012 and thereafter every time CPI inflation cumulatively reaches 5% or more. On current forecasts these adjustments are expected to occur on 1 April 2014, 1 April 2016 and 1 April 2018

For the next four inflation adjustments starting in April 2012, at the same time as the inflation adjustment is made, the abatement threshold will decrease. The first decrease will be \$477 and the following three will

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be \$450 each time. After these four adjustments Family Tax Credit will have a lower abatement threshold of \$35,000 compared to the current \$36,827.

At the same time as the above the abatement rate will be increased by 1.25 cents in the dollar. After these four adjustments the abatement rate will be 25 cents in the dollar compared to the current 20 cents in the dollar.

In addition inflation adjustments to Family Tax Credits for children aged 16 and over will be temporarily halted until payment rates for children aged 13 to 15 catch up with them. This will reduce the number of different categories from five to three.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD Revenue Statistics.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, inter alia, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasi-compulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.